

U.S. Medical Devices

Abbott Laboratories

Rating

Outperform

Price Target



117.00 USD (110.00 OLD)



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Abbott 2Q26: EPS beat and raise on in-line sales, and a vehement defense of medtech market health

EPS beat and raise on in-line sales. Revenue grew 4.8% on a comparable basis to \$12.59bn, just ahead of consensus (\$12.54bn) by 0.4%. All segments came in above consensus: Medical Devices (8.4% growth, 0.6% beat), Diagnostics (2.9% growth, 1.6% beat), Established Pharmaceuticals (8.7% growth, 1.2% beat). Nutrition sales declined 3.6%, but beat consensus 0.9% with recovery better than internal expectations. Adj EPS of \$1.31 was modestly ahead of consensus (\$1.28) by 3 cents (2.6%), driven primarily by a 50bps beat on gross margin (58.0%). ABT held FY26 sales guidance at 6.5%-7.5% comparable growth and raised EPS guidance by 4.5 cents (after a 3-cent beat in Q2).

2H acceleration driven by 4 segments. After acceleration from 3.7% comparable growth in Q1 to 4.8% in Q2, ABT sees acceleration to ~8.7% comparable growth in the second half, driven by (1) Nutrition, (2) Electrophysiology, (3) Core Lab, and (4) Cancer Diagnostics.

Vehement defense of medtech markets. After Tuesday's pre-release from HCA highlighted Q2 declines in inpatient and outpatient procedure volumes (see [our take](#)), investors have been keen to get company perspectives on procedure trends. On Wednesday, JNJ said they saw no sign of a slowdown in underlying procedure markets. Yesterday, ABT doubled-down on this view, claiming both that (1) they also saw no signs of slowdown and, (2) fears were grounded in the "flawed assumption" that declining enrollment in ACA or Medicaid are impactful to medtech markets. With added encouragement from in-line surgical volumes at UNH (Wilkes), Medtech stocks rallied on Thursday.

Investment Implications

We rate ABT Outperform with a price target of \$117 (up from \$110) using a target P/ E multiple of 19x (up from 18x to reflect increasing confidence in growth forecast) against our forward Q5-Q8 EPS estimate of \$6.16 (up from \$6.09). For more, see our [4Q25](#) and [1Q26](#) recaps. Updated model: [ABT](#)

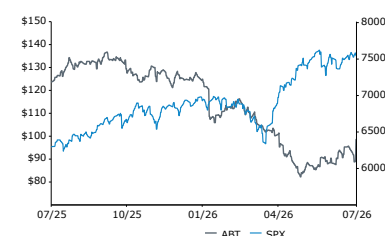
Adjusted EPS	F25A	F26E	F27E
ABT (USD)	5.14	5.52	5.88
OLD	--	5.48	5.95

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	44,328	50,212	54,591	11.0%
Organic Sales Growth (%)	6.4	7.8	8.6	--
Gross Profit (M)	25,326	27,510	29,987	8.8%
Adj. Operating Margin (%)	23.2	24.0	24.7	--
Operating Earnings (M)	10,379	11,583	12,945	11.7%
Adjusted Net Income (M)	9,040	9,670	10,254	6.5%

Close Date	16 Jul 2026			
ABT Close Price (USD)	98.83			
Price Target (USD)	117.00			
Upside/(Downside)	18%			
52-Week Range	137.49/81.97			
SPX	7,533.77			
FYE	Dec			
Div Yield	2.6%			
Market Cap (USD) (M)	172,143			
EV (USD) (M)	199,172			
Performance	YTD	1M	6M	12M
Absolute (%)	(21.1)	9.1	(18.8)	(25.0)
SPX (%)	10.1	0.3	8.6	20.3
Relative (%)	(31.2)	8.8	(27.4)	(45.3)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

Vehement defense of the health of underlying medtech markets

Over the past few months, hospital commentary has stoked fears that utilization growth could slow in 2H26, driven in part by declining enrollment in ACA plans and cuts to Medicaid. When HCA pre-released 2Q26 revenue on Tuesday—highlighting a 2.3% decline in same-facility inpatient surgery volumes and a 3.4% decline in same-facility outpatient surgery volumes—these fears boiled over, and medtech stocks dropped 3%-7% ([see our takeaways from HCA's pre-release](#)).

Flawed assumption. Abbott CEO Robert Ford characterized medtech procedure volume fears as having been driven by "**a flawed assumption**." Ford made the case that medtech and diagnostics businesses are less impacted by changes in ACA and Medicaid. ABT has seen no sign of procedure growth slowdown and does not expect any material impact in 2H26. Management emphasized that Medicare drives medtech surgical procedures, with two-thirds of Abbott's U.S. cardiovascular business coming from Medicare.

*"...I think it's less of a concern for the companies... in the markets that we're operating in. I think there's a couple reasons for that. **I think some of the concern for the decline in volumes is tied to... challenges with the ACA, lower enrollment rates or disenrollment rates in Medicaid. I think that's a flawed assumption**... , as it relates to the medtech and diagnostic space. If you go back to **when the ACA was implemented, really the pharma companies... predominantly benefited** from new patients coming into the market, **we didn't see that in medtech or in diagnostics**. We didn't see a spike in demand when the ACA and the expansion of Medicaid happened. I think it's **logical here to assume that if we didn't see the benefit, I don't think we're going to see the downside**, if that truly is what's happening. I think one reason for that is that **it's not Medicaid that is a driver of medtech surgical procedures in the U.S. It's actually Medicare. Medicare is by far the largest U.S. payer as it relates to devices**. For us, it's over two-thirds of our U.S. cardio business. I think that's one reason. The other reason that I believe it's not a concern, at least right now we're not seeing it, is that not all healthcare products are the same here. **Demand for high acuity life-saving products is very inelastic**. In the U.S., we treat people with serious acute medical conditions, and **the system doesn't save lives of only those people with insurance**. That's why we didn't see the impact of expansion of ACA and Medicaid into the business, because those patients were already being treated. If you look at our portfolio, it's really tied, and maybe this is a little bit more of an Abbott side, we're really tied to a lot of major chronic conditions like diabetes, cardiovascular, cancer, and this is less likely to forego insurance. I think that's one reason."*

Dx as a barometer. Management positioned Abbott's Diagnostics business as a forward-looking barometer for procedural demand, emphasizing that in their Hospital Labs business—which focuses on instruments and reagents for hospital and in-hospital testing—management saw strong growth of 13%, indicating strong future demand.

*"...our diagnostic business [...] provides us, I think, a forward-looking into the healthcare environment and the healthcare system. Our instruments are located across the world, across the country, all in the States here in the U.S. **Testing volumes in the U.S. have held up very well. Not seeing a decline, including in the States that we've seen the highest level of ACA disenrollment**. We've gone as deep as looking at it from that perspective. Our U.S. Core Lab business has accelerated growth in the last 2 quarters. Our print here is about 7.5% this quarter. If you unpack that, we've got a couple different segments in our U.S. Core Lab business,... , labs, and then specifically hospital labs. **This is our business for selling instruments and reagents specifically for hospital and in-hospital testing. That business was up 13% in this quarter. I think if I look at the diagnostic system as a forward-looking barometer there, we're not seeing that. We're seeing strong demand for our U.S. cardio business**. I'd argue that our U.S. cardio business is performing better than it's ever been. We're seeing that same similar strong, stable demand internationally, both in developed and emerging markets. **I feel very good about overall healthcare markets and especially our markets**. [...], and I think the **demand is, right now, we don't see it as a concern**."*

Confidence in H1 to H2 growth acceleration driven by 4 things

Management expressed strong confidence that Q2 momentum would continue and drive accelerating sales and earnings growth in 2H26. CEO Robert Ford broke down the majority of that growth as coming from four buckets: (1) Nutrition, (2) Electrophysiology, (3) Core Lab, and (4) Cancer Diagnostics.

*"...I think Q2 results showed that we've got momentum that's building. [...] **The lift in the second half, 80% of that lift, I'm going to call it trajectory shift, is really coming from four areas: nutrition, electrophysiology, core lab, and***

cancer diagnostics. Each of these four businesses are entering with a lot of momentum and line of sight to the drivers of the business. [...], **nutrition is tracking slightly ahead of expectations.** Several of our strategies, whether it's pricing, new product launches, commercial execution, that's all being done very well by the team. **EP, we've got a lot of great launch activity, a lot of good feedback on our new products.** I expect the second half of the market to really show that growth acceleration that we've been forecasting. In our **Core Lab business,..., our businesses have performed very well** across the world. We obviously had the challenge of the VBP in China, where we had a pretty sizable portion of our international business decline for at least five quarters, around 30%. We're **still forecasting a decline in the China business, but much, much lower, mid-single digits.** That **allows some of the other businesses** that have continued to do very well, and actually **accelerate to kind of overpower that China impact.** **Cancer diagnostics, very good trajectory there, especially with new Cologuard users. They're exceeding our expectations.** I've learned a lot about these care gap programs. I've got confidence in them. We've got a lot of work around them, and I'm confident in that. It's really those four businesses that represent the significant shift. Obviously, all the other businesses have got to continue to do well, and they've got all their strategies. If I were to kind of really **focus on what's going to drive that second half, it's these four areas here, and they're actually going into Q3 with a lot of good momentum, some of them a little bit ahead of what we thought we would be at.** We feel good about that second quarter acceleration."

EPS beat and raise on in-line sales

In-line sales. 2Q26 sales grew 4.8% on a comparable basis to \$12.59bn, just ahead of consensus (\$12.54bn) by 0.4%. FX had a favorable YoY impact of 0.8% on sales. **Medical Devices** grew 8.4% comparable to \$5.9bn and beat consensus by 0.6%. Bright spots included Electrophysiology (13.4% comparable, 1.3% beat), Rhythm Management (9.5% comparable, 1.8% beat), Heart Failure (8.7% comparable, 1.2% beat), and Vascular (5.1% comparable, 1.4% beat). Key weak spots were Structural Heart (5.7% comparable, -2.7% miss) and Neuromodulation (1.2% comparable, -1.7% miss). Diabetes Care grew 9% to \$2.2bn, much slower than the high-teens/low-20s pace investors had come to expect over the past few years, but a step up from 7.4% in 1Q26 and ahead of 2Q26 consensus by 0.8%. **Diagnostics** grew 2.9% to \$3.09bn, 1.6% above consensus (\$3.04bn). Core Lab is moving along with 3.2% growth (1.3% beat), while Cancer Diagnostics came in below consensus (13.3% comparable, 1.1% miss). Combined Rapid and Molecular Diagnostics sales declined 8.0% to \$755mn (1% miss) on lower respiratory virus testing as a result of a weaker than normal season that concluded during Q2. **Nutrition** sales declined 3.6% to \$2.14bn and were a touch ahead of consensus (\$2.12bn). And **Established Pharmaceuticals** grew 8.7% to ~\$1.50bn, ahead of consensus (\$1.48bn).

EPS beat. Adj EPS of \$1.31 was modestly ahead of consensus (\$1.28) by 3 cents (2.6%). Adjusted gross margin was 58.0% of sales (~50bps above consensus). The improvement was broad-based, reflecting favorable business mix within the legacy Abbott portfolio and from the addition of Exact Sciences, as well as the continued operational improvements and disciplined execution of margin expansion initiatives. Adjusted R&D was 6.9% of sales and adjusted SG&A was 28.6% of sales. Adj operating margin was 22.6% (~30bps above consensus.)

FY26 organic growth guide reaffirmed; adj EPS guidance raised by 4.5 cents. Abbott maintained FY26 comparable growth guidance at 6.5%-7.5% and raised full-year 2026 adjusted diluted EPS guidance range to \$5.45 to \$5.60 vs previous range of \$5.38 to \$5.58, a 4.5-cent raise at the midpoint after a 3-cent beat in Q2.

EXHIBIT 1: **ABT maintained FY26 organic growth guidance and nudged FY26 EPS guidance up by 4.5c (~1%)**

Abbott Labs (ABT) Date Provided:	1/22/2026	4/16/2026	7/16/2026	Pre-Event Consensus	Pre-Event BERNe	Bernstein Forecast
For Period:	FY26	FY26	FY26	FY26	FY26	FY26
Comparable Growth (total)	6.5% - 7.5%	6.5% - 7.5%	6.5% - 7.5%	6.5%	7.0%	6.6%
FX Impact (%)	1.0%	1.0%	1.0%		0.9%	0.6%
Adjusted tax rate	15% - 16%	15% - 16%	-	15.5%	15.4%	15.2%
EPS (adj)	\$5.55 - \$5.80	\$5.38 - \$5.58	\$5.45 - \$5.60	\$5.48	\$5.48	\$5.52

Source: Company reports; Bloomberg; Bernstein estimates & analysis

Medical Device sales grew 8.4% comparable, roughly in-line (0.6% beat)

Sales growth in the quarter was led by double-digit growth in Electrophysiology and HSD growth in Rhythm Management, Diabetes Care, and Heart Failure.

In **Electrophysiology**, sales grew 13.4% to \$861mn (1.3% beat), accelerating from 12.5% YoY in Q1. U.S. EP sales grew 15.9% to \$420mn, as Abbott launched their next-generation PFA catheter (Volt 2.0) in the U.S. in May, with expectations to transition from limited market to full market release in Q3. OUS EP sales grew 11.1% to \$441mn on the expanding international rollout of Volt and TactiFlex Duo. Management affirmed confidence that EP would be able to outperform the market and recapture share into 2H26 on the back of several growth catalysts, including expectations to launch both TacitFlex Duo (FDA approval pending) and Amulet 360 (filed with FDA, with expectations for approval by year-end) in the U.S. over the next 12 months.

*"...we do expect to grow faster than the market, and I think we're entering this phase here where we'll start to outperform the market and capture share. **I think we saw early signs of that in Q2.**"*

"Selling the entire procedure." CEO Robert Ford reiterated that EP strategy will not depend on any single PFA catheter but on selling the full procedure—combining a broad PFA catheter pipeline with mapping, diagnostics, ICE, and other ancillaries—to position Abbott as a leading, end-to-end EP solutions provider.

*"...our growth **strategy is not going to be built off like one product** or one catheter that we've got to kind of monitor closely, and..., yes, these catheters will drive a lot of growth. But... we **believe that our right growth strategy is to really focus on selling the entire procedure.** And that's why we've been **focusing on -- not just on these PFA catheters, but also on the mapping systems, all the ancillary, the diagnostics, the introducers, the ICE catheter,** I mean, all of that matters. And that's what our focus is here is to really position ourselves as a leading company in this space. And we've got a nice pipeline of PFA catheters still in the works. So between now and 2029, we'll have iterations and new versions, and new ideas come out. But **we're also equally investing in mapping and ensuring that our mapping superiority is maintained** as obviously competitors are launching their own -- their own mapping systems. So, we'll continue to invest in that also and our ability to stay ahead is, I think, is very strong."*

Structural heart sales declined 5.7% to \$597mn (-2.7% miss), driven by ongoing competitive pressure in the U.S. mitral space. Management reaffirmed that recovery would take a few quarters, with expectations for Structural Heart to return to MSD to HSD growth by the end of 2026.

*"I expect Structural Heart **by the end of this year to be in that kind of mid- to high-single-digit growth rate** back to where we were before. I think that, I've been pretty clear about where we're falling short. **It's not a price issue, it's not a product issue. It's really kind of how we think about competing in the mitral space, specifically in the US.** We've seen competitive intensity increase there -- here in the US, and I mentioned that during our last earnings call. I said it was going to **take us a couple of quarters.** Q2 is the first one."*

Management emphasized that their U.S. commercial teams were actively working on improving execution in the U.S. to drive better Structural Heart growth.

*"...I think that **our team has kind of trying to figure out a better way of how to position that full portfolio.** We're showing good growth in Tricuspid, we're showing good growth in TAVR here in the US, but we got to do a better job in mitral. The team knows that. They're motivated. I've met with them. And they're determined to respond to the challenge. So, US has got some work to do. **We've had a lot of work this quarter. I expect there'd be a lot of work in Q3. And I think you'll start to see that change in Q4.** I will put a plug in for the international team. I think the international team has been able to grow double digits in the first half. TAVR was up 30% in the first half. MitraClip and TriClip, and our Structural Interventions portfolio, all of that is growing really strong. So, that international team has done a really good job. And **there are things that the US organization can learn from some of the strategies that have been developed there.** So, work to be done there."*

Even with competitive intensity challenging the Structural Heart business, Abbott noted that there were still growth catalysts in the pipeline, with Q4 patient enrollment for clinical trials on track for a balloon expandable TAVR valve and a mitral replacement valve developed following the acquisition of Cephea Valve Technologies.

In **Diabetes Care**, sales were up 9.0% on a comparable basis to \$2.2bn (0.8% beat), including CGM sales growth of 9.5%. After having declined from high-teens to low-teens growth in 4Q25 and then to HSD growth in the last 2 quarters, some investors have been concerned about deceleration in the business. After some share loss to Dexcom in recent quarters, management has worked to de-risk the CGM forecast going forward. The team expects 7.5%-8.0% Diabetes Care growth in 2H26, which would imply share loss to Dexcom—and management hopes the business can do better than this. Still, leadership pointed out that CGM market growth in the 9%-10% range is not bad in a market that has gone a long period without experiencing a major

reimbursement expansion. Given potential changes in reimbursement, growth could dramatically accelerate.

*“...when you go through a **period of time like that without a major reimbursement expansion, you see this kind of market growth plateau**. And when I say plateau, I'm referring to like **8%, 9% growth**, which like I said, I don't think is a bad -- is not a bad growth rate. It's just not as high as what we've seen before. And [...] do these things keep you at this growth rate or does it accelerate? It drastically accelerates it, right? Like **any one of these markets that goes to reimburse an expansion or introduction of reimbursement, it dramatically accelerates the growth rate**, as we've seen in the past.”*

Management remains confident in two reimbursement catalysts: (1) CMS T2D non-insulin reimbursement that could bring coverage to ~10M Medicare beneficiaries, and (2) international expansion for basal-only, as only 3 out of the top 10 international markets have full basal coverage. Although leadership did not have an estimate on timing, management was confident that the market would be able to accelerate and are planning for a new manufacturing facility accordingly.

*“...We **feel so strongly about this market and the ability for this market to accelerate and to continue to grow and the potential that exists that we're probably in the final stages here of planning for a fifth manufacturing facility**. We got our facility up, our last facility, our fourth facility. We got up and running probably in the 2024 time frame, given the trajectory that I'm seeing right now, that's a \$100 million sensor facility. **We're probably going to be bumping up against capacity at that facility probably in the next couple of years. So we're already looking at our fifth facility, and it will probably be a \$1 billion investment...**”*

As for growth drivers for the business, Libre Duo (dual glucose ketone sensor, or DGK) received its CE mark with expectations for international launch to start in the fall. FDA approval for Libre Duo is still pending, with “discussions in [...] very advanced final stages.” Management also teased “2 more programs that [they're] not going to talk about for competitive reasons.”

Rhythm Management sales grew 9.5% to \$743mn (1.8% beat) on AVEIR expansion. Management highlighted that clinical trial patient enrollment for a leadless conduction system pacing device is set to begin in Q4.

In **Heart Failure**, sales grew 8.7% to \$401mn (1.2% beat), led by double-digit U.S. growth (10.9% comparable, 3.9% beat).

Vascular sales grew 5.1% to \$803mn (1.4% beat). Management highlighted completing patient enrollment in their TECTONIC Coronary IVL pivotal trial, with expectations for early 2027 FDA approval and a 2H27 launch. The Vascular business is also on track to begin patient enrollment in Q4 for a peripheral IVL device developed following the acquisition of CSI.

Diagnostics sales grew 2.9% comparable, 1.6% beat

Sales growth in the quarter was driven by strength in Core Labs and Cancer Diagnostics, with weakness in combined Rapid and Molecular Diagnostic sales.

Core Lab sales grew 3.2% to \$1.4bn (1.3% beat), with U.S. sales growing 7.5% (3.4% beat) driven by strong underlying markets and OUS sales growing 1.7% (0.6% beat) bolstered by waning China VBP pressure.

*“Diagnostic test results inform approximately 70% of all health care decisions, making testing volumes a reliable barometer of overall health care activity and demand. **Our test volume data** that's sourced directly from our diagnostic instruments located across the United States and around the world **continues to reflect strong and stable demand for testing**, and we view this as a positive indication of the durable underlying demand for health care, not just in the U.S., but globally. **This durable demand was evident in our Core Laboratory results this quarter where U.S. business grew 7.5%** and we continued our track record of strong performance across Latin America.”*

*“...We obviously had the challenge of the VBP in China, where we had a pretty sizable portion of our international business declined for at least 5 quarters, around 30%. **We're still forecasting a decline in the China business, but much, much lower mid-single digits**. So that **allows some of the other businesses that have continued to do very well and actually accelerate to kind of overpower that China impact**.”*

Cancer Diagnostics sales grew 13.3% to \$919mn driven by mid-teens Cologuard growth, benefitting from a growing base of both new and repeat Cologuard users that exceeds internal expectations, as well as contributions to growth from precision oncology and international business (13.8% growth). Management set expectations for higher growth in 2H26, supported by increasing volumes from care gap programs, recently launched tests, and continued international adoption. ABT also

highlighted that in May, the American Cancer Society updated its colorectal cancer screening guidelines to reaffirm Cologuard and Cologuard Plus as preferred screening options.

*"...If you look at the **growth from Cologuard users, they're exceeding our expectations.** So there's a certain forecast of how many new users we will be able to bring in and the team is actually exceeding that target. **The number of repeat users in Cologuard, we talked about the rescreen. That funnel is expanding and it is extremely reliable** in terms of -- since we have the names, people want to stay up to date with their screening. So that rescreen funnel is expanding, and that's a great opportunity for us."*

Rapid and Molecular Diagnostics sales declined 8.0% to \$755mn (1% miss) on lower respiratory virus testing as a result of a weaker-than-normal season that concluded during the second quarter.

Nutrition "tracking according to plan"

For the quarter, Nutrition saw sales of \$2.14bn, beating consensus (\$2.12bn) by ~1% but falling by 3.6% comparable YoY. Management noted that 2Q26 marks the second consecutive quarter where sales finished slightly ahead of their expectations, with sales having increased sequentially by \$125mn. Within the segment, Pediatric sales were \$1.02bn, coming ahead of consensus (\$1bn) by 1.7% but decreasing by 3.1% comparable YoY. Similarly, Adult sales of \$1.12bn landed relatively in line with consensus (\$1.12bn) and decreased YoY by 4% comparable.

Positive momentum. ABT reiterated that the Nutrition business is "tracking according to plan." Management pointed to several highlights supporting this upwards trend, including strong international Pediatric performance, high growth rates in U.S. retail consumption, and contributions from new products.

*"... **in Pediatric Nutrition, our international business was the first of our nutrition businesses to transition back to delivering positive growth**, delivering growth of 6.5% in the quarter. In US Pediatric, we exited the quarter with the full benefit of recent WIC contract wins reflected in our run-rate, and as a result, **Abbott is now the market leader in both WIC and non-WIC segments.**"*

*"In Adult Nutrition, we continue to see **positive volume trends** in response to the price actions implemented late last year. In the **US, retail consumption of Ensure has increased double-digits** compared to consumption levels exiting last year, **and achieved the highest year-over-year consumption growth in the past year and a half.** We're also making good progress in our International Adult nutrition business, where sales continue to grow sequentially and are now approaching levels similar to this time last year. **We're also benefiting from sales contributions from new innovation, including new versions of Ensure** that feature higher protein, lower sugar, and refreshed labeling and packaging. So overall, I remain encouraged by the progress we are making and confident in our outlook for the second half of the year."*

Management remains excited about their new product pipeline in Nutrition, including a new collagen protein shake, a new adult product with protein, hemp, and creatinine, and a new infant formula using whole milk scheduled to come in 2H26. Looking to 2027, management sees the Nutrition business returning to its historical range of being a 2% to 4% grower.

EPD sales growth of 9%; 1.2% beat

EPD sales were \$1.5bn, growing 8.7% comparable and beating consensus (\$1.48bn) by 1.2%. Management remains very positive on this business and highlighted broad-based growth across India, Latin America, and Southeast Asia as the core drivers of growth in Q2.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 2: Abbott (ABT) Financial Model

Adjusted Income	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
Sales (adj)																
Nutrition	8,294	7,459	8,154	8,413	8,451	8,606	8,879	9,145	2,146	2,212	2,153	1,940	2,017	2,144	2,206	2,239
Diagnostics	15,644	16,584	9,988	9,341	8,937	12,169	13,781	14,749	2,054	2,173	2,253	2,457	2,180	3,092	3,281	3,616
Established Pharma	4,718	4,912	5,066	5,194	5,536	5,954	6,430	6,977	1,260	1,383	1,511	1,382	1,426	1,499	1,564	1,465
Medical Devices	14,367	14,687	16,887	18,986	21,387	23,467	25,485	27,508	4,895	5,369	5,448	5,675	5,539	5,853	5,871	6,204
Other Revenue	52	11	14	16	17	16	16	16	3	5	4	5	3	5	4	4
Sales (adj)	43,075	43,653	40,109	41,950	44,328	50,212	54,591	58,395	10,358	11,142	11,369	11,459	11,164	12,593	12,926	13,528
COGS (adj)	18,108	18,804	17,832	18,371	19,177	21,209	23,092	24,643	4,440	4,796	5,025	4,916	4,880	5,286	5,461	5,580
Gross profit (adj)	24,967	24,849	22,277	23,579	25,151	29,004	31,499	33,753	5,918	6,346	6,344	6,543	6,284	7,307	7,465	7,948
SG&A (adj)	11,007	11,012	10,857	11,580	12,020	13,910	14,970	15,955	3,051	3,090	3,004	2,875	3,267	3,597	3,529	3,517
R&D (adj)	2,636	2,606	2,519	2,704	2,830	3,382	3,676	3,932	689	705	730	706	743	867	879	893
Operating income (adj)	11,324	11,231	8,901	9,295	10,301	11,712	12,853	13,865	2,178	2,551	2,610	2,962	2,274	2,843	3,057	3,538
Interest expense	490	375	252	215	185	965	1,186	984	49	50	44	42	68	299	299	299
Other expense (adj)	(251)	(374)	(413)	(566)	(646)	(658)	(540)	(540)	(169)	(149)	(162)	(166)	(179)	(157)	(161)	(161)
Earnings before taxes (adj)	11,085	11,230	9,062	9,646	10,762	11,405	12,207	13,422	2,298	2,650	2,728	3,086	2,385	2,701	2,919	3,400
Taxes (adj)	1,718	1,764	1,270	1,446	1,722	1,734	1,953	2,147	379	437	450	456	363	411	444	517
Net income (adj)	9,367	9,466	7,792	8,200	9,040	9,670	10,254	11,274	1,919	2,213	2,278	2,630	2,022	2,290	2,475	2,883
Diluted EPS (adj)	\$5.21	\$5.34	\$4.44	\$4.67	\$5.14	\$5.52	\$5.88	\$6.48	\$1.09	\$1.26	\$1.30	\$1.50	\$1.15	\$1.31	\$1.41	\$1.65
Avg Diluted Shares (M)	1,789	1,764	1,749	1,748	1,749	1,743	1,737	1,730	1,747	1,751	1,749	1,747	1,747	1,743	1,742	1,741
EBITDA	14,862	14,498	12,144	12,513	15,706	15,777	17,246	18,615	2,934	4,084	4,934	3,754	3,077	3,921	4,354	4,425
Growth Rates (YoY)																
Organic/Comparable Growth																
Nutrition	7.7%	-6.2%	12.9%	6.4%	1.2%	1.6%	3.2%	3.0%	6.8%	3.4%	4.0%	-9.1%	-7.7%	-3.6%	3.5%	15.8%
Diagnostics	54.0%	16.9%	-38.2%	-3.5%	-4.5%	5.1%	7.0%	7.0%	-4.9%	-1.4%	-7.8%	-3.8%	1.8%	2.9%	6.3%	8.6%
Established Pharma	10.4%	10.6%	10.9%	9.2%	7.4%	8.4%	8.0%	8.5%	7.8%	7.7%	7.1%	7.0%	9.0%	8.7%	7.5%	8.5%
Medical Devices	19.4%	8.1%	14.2%	13.4%	11.9%	8.9%	8.6%	7.9%	12.6%	12.2%	12.5%	10.4%	8.5%	8.4%	8.7%	9.9%
Total	26.5%	6.4%	-6.2%	7.1%	5.5%	6.6%	7.2%	7.0%	6.9%	6.9%	5.5%	3.0%	3.7%	4.8%	7.0%	10.3%
Currency	1.6%	-5.1%	-1.9%	-2.5%	0.2%	0.6%	1.5%	0.0%	-2.9%	0.5%	1.4%	-3.0%	4.1%	8.2%	-1.0%	-0.5%
Reported Growth	24.5%	1.3%	-8.1%	4.6%	5.7%	13.3%	8.7%	7.0%	4.0%	7.4%	6.9%	4.4%	7.8%	13.0%	13.7%	18.1%
EBITDA	31.1%	-2.4%	-16.2%	3.0%	25.5%	0.5%	9.3%	7.9%	6.2%	32.7%	54.2%	8.2%	4.9%	-4.0%	-11.8%	17.9%
Operating profit (EBITDA - adj)	41.4%	-0.8%	-20.7%	4.4%	10.8%	13.7%	9.7%	7.9%	11.2%	12.2%	8.8%	11.2%	4.4%	11.4%	17.1%	19.4%
EPS (adj)	42.8%	2.6%	-16.9%	5.0%	10.3%	7.3%	6.4%	10.4%	11.2%	10.5%	7.4%	11.9%	5.4%	4.0%	9.1%	10.0%
Key ratios																
Gross margin	58.0%	56.9%	55.5%	56.2%	56.7%	57.8%	57.7%	57.8%	57.1%	57.0%	55.8%	57.1%	56.3%	58.0%	57.8%	58.8%
SG&A	25.6%	25.2%	27.1%	27.6%	27.1%	27.7%	27.4%	27.3%	29.5%	27.7%	26.4%	25.1%	29.3%	28.6%	27.3%	26.0%
R&D	6.1%	6.0%	6.3%	6.4%	6.4%	6.7%	6.7%	6.7%	6.7%	6.3%	6.4%	6.2%	6.7%	6.9%	6.8%	6.6%
EBITDA	34.5%	33.2%	30.3%	29.8%	35.4%	31.4%	31.6%	31.9%	28.3%	36.7%	43.4%	32.8%	27.6%	31.1%	33.7%	32.7%
Operating margin (EBITDA adj)	26.3%	25.7%	22.2%	22.2%	23.2%	23.3%	23.5%	23.7%	21.0%	22.9%	23.0%	25.8%	20.4%	22.6%	23.7%	26.2%
Tax rate, % EBT	15.5%	15.7%	14.0%	15.0%	16.0%	15.2%	16.0%	16.0%	16.5%	16.5%	16.5%	14.8%	15.2%	15.2%	15.2%	15.2%
Net income (adj)	21.7%	21.7%	19.4%	19.5%	20.4%	19.3%	18.8%	19.3%	18.5%	19.9%	20.0%	23.0%	18.1%	18.2%	19.1%	21.3%
Cash Flow																
FCF	8,525	7,627	5,059	6,351	10,806	7,236	10,283	11,573	933	2,478	4,769	2,626	916	1,491	2,285	2,543
FCF, % sales	20%	17%	13%	15%	24%	14%	19%	20%	9%	22%	42%	23%	8%	12%	18%	19%
FCF:Adj. NI	91%	81%	65%	77%	120%	75%	100%	103%	49%	112%	209%	100%	45%	65%	92%	88%
FCF/share	\$4.77	\$4.32	\$2.89	\$3.63	\$6.18	\$4.15	\$5.92	\$6.69	\$0.53	\$1.42	\$2.73	\$1.50	\$0.52	\$0.86	\$1.31	\$1.46
Cash from Operations	10,410	9,404	7,261	8,558	14,447	10,223	13,679	15,307	1,417	3,464	6,251	3,315	1,315	2,287	3,199	3,422
Cash from Investing	(2,008)	(1,740)	(3,133)	(2,338)	(3,944)	(22,913)	(3,395)	(3,734)	(470)	(1,052)	(1,509)	(913)	(20,324)	(796)	(914)	(879)
Cash from Financing	(5,494)	(7,636)	(7,091)	(5,404)	(11,516)	13,711	(5,173)	(5,588)	(2,055)	(3,152)	(4,912)	(1,397)	17,313	(1,209)	(1,205)	(1,188)
Change in cash (Ex-FX)	2,908	28	(2,963)	816	(1,013)	1,022	5,110	5,985	(1,108)	(740)	(170)	1,005	(1,696)	282	1,081	1,355
Capex	(1,885)	(1,777)	(2,202)	(2,207)	(3,641)	(2,988)	(3,395)	(3,734)	(484)	(986)	(1,482)	(689)	(399)	(796)	(914)	(879)
Acquisitions, net	(53)	48	(837)	1	(127)	(19,798)	0	0	8	(30)	(85)	(20)	(19,798)	0	0	0
Buybacks	(2,299)	(3,795)	(1,227)	(1,295)	(1,459)	(892)	(1,050)	(1,217)	(280)	(286)	(591)	(302)	(180)	(245)	(241)	(226)
Balance Sheet																
Total Assets	75,196	74,438	73,214	81,414	86,713	116,332	123,419	131,286	81,448	83,999	84,181	86,713	110,429	112,002	113,713	116,332
Current Assets	24,239	25,224	22,670	23,656	25,996	29,474	36,167	43,491	23,153	24,468	24,839	25,996	25,508	25,949	27,263	29,474
LT Assets	50,957	49,214	50,544	57,758	60,717	86,858	87,252	87,795	58,295	59,531	59,342	60,717	84,921	86,052	86,450	86,858
Book Value of Equity	36,024	36,905	38,827	47,901	52,771	57,404	63,611	70,570	49,064	50,829	51,264	52,771	52,701	54,028	55,566	57,404
Total Liabilities	39,172	37,533	34,387	33,513	33,942	58,928	59,808	60,717	32,384	33,170	32,917	33,942	57,728	57,974	58,147	58,928
Cash	9,799	9,882	6,896	7,616	8,522	9,521	14,631	20,616	6,532	6,951	7,511	8,522	6,803	7,085	8,166	9,521
Total Debt	18,050	16,773	14,679	14,125	12,929	34,047	34,047	34,047	13,242	13,437	12,941	12,929	34,047	34,047	34,047	34,047
Net Debt	8,251	6,891	7,783	6,509	4,407	24,526	19,416	13,431	6,710	6,486	5,430	4,407	27,244	26,962	25,881	24,526
Net Debt:EBITDA	0.6x	0.5x	0.6x	0.5x	0.3x	1.6x	1.1x	0.7x	0.6x	0.4x	0.3x	0.3x	2.2x	1.7x	1.5x	1.4x
Total Debt:EBITDA	1.2x	1.2x	1.2x	1.1x	0.8x	2.2x	2.0x	1.8x	1.1x	0.8x	0.7x	0.9x	2.8x	2.2x	2.0x	1.9x
NOPAT (All in)	7,839	7,770	5,963	6,305	6,182	8,109	8,920	9,715								

Source: Company reports; Bernstein estimates & analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	16 Jul 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
ABT (Abbott)	O	USD	98.83	117.00	(45.3)%	USD	5.14	5.52	5.88	19.2	17.9	16.8
OLD				110.00				5.48	5.95			
SPX			7,533.77									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Abbott Laboratories**

We set a price target of \$117 using a P/E multiple of 19x against our forward Q5-Q8 EPS estimate of \$6.16. We also use current P/E vs. history, EV/EBITDA vs. history, a sum-of-the-parts analysis, and DCF analysis as secondary inputs to our valuation.

RISKS**Abbott Laboratories**

Downside risks include: Major product recall, slower than expected approvals for the Alinity platform and test menu, disappointing performance from new products, an emerging market economic crisis causing disruption of developing markets' branded generic pharmaceutical businesses, and / or market-wide deceleration across DES, rhythm management, nutrition, diabetes devices, or clinical diagnostics.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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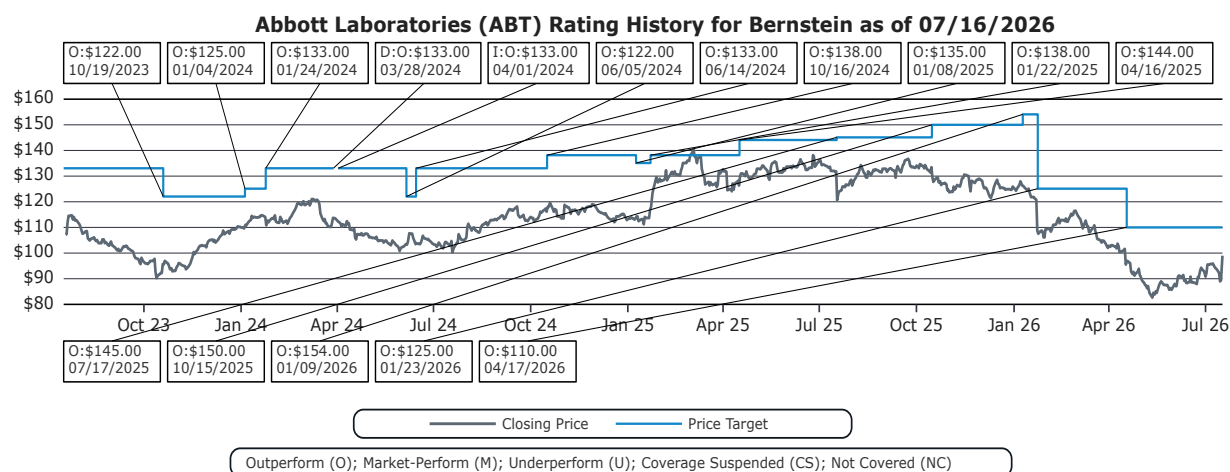
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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